

the price ball shot past him. Price moved up, pausing only a day before moving higher on heavy volume. The stock climbed quickly after that and entered another congestion zone; this time it was a descending triangle with an upward breakout.

This chart shows what a rectangle bottom should look like if you ignore the undershoot. It's a tight congestion region of horizontal price movement, with the stock touching each trendline multiple times. Very nice, indeed.

Identification Guidelines

[Table 51.1](#) shows identification guidelines for rectangle bottoms. While reviewing the guidelines, consider how they apply to the rectangle shown in [Figure 51.2](#).

[Table 51.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Price bounces between a region of underlying support and overhead resistance for several weeks, crossing the pattern from top to bottom before breaking out either upward or downward.
Price trend	The prevailing price trend leading to the rectangle is down by definition.
Horizontal trendlines	Two horizontal, or nearly so, trendlines bound price along the top and bottom of the rectangle.
Touches	There should be at least five touches total (three of one trendline and two of another). Price should cross the rectangle plenty of times to fill the whitespace.
Volume	Volume usually trends downward.
Breakout direction	Either up or down. A close outside of the trendline border signals the breakout.
Duration	If the rectangle is shorter than 3 weeks, make sure it's not a flag (a rectangle will not have a flagpole).